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Good morning, Pro Briefers!

In the years leading up to 2024, biotech companies were on a spending spree.

Everything from syringes, vials, stoppers, and more was in hot demand due to the pandemic and new innovations like GLP-1s.

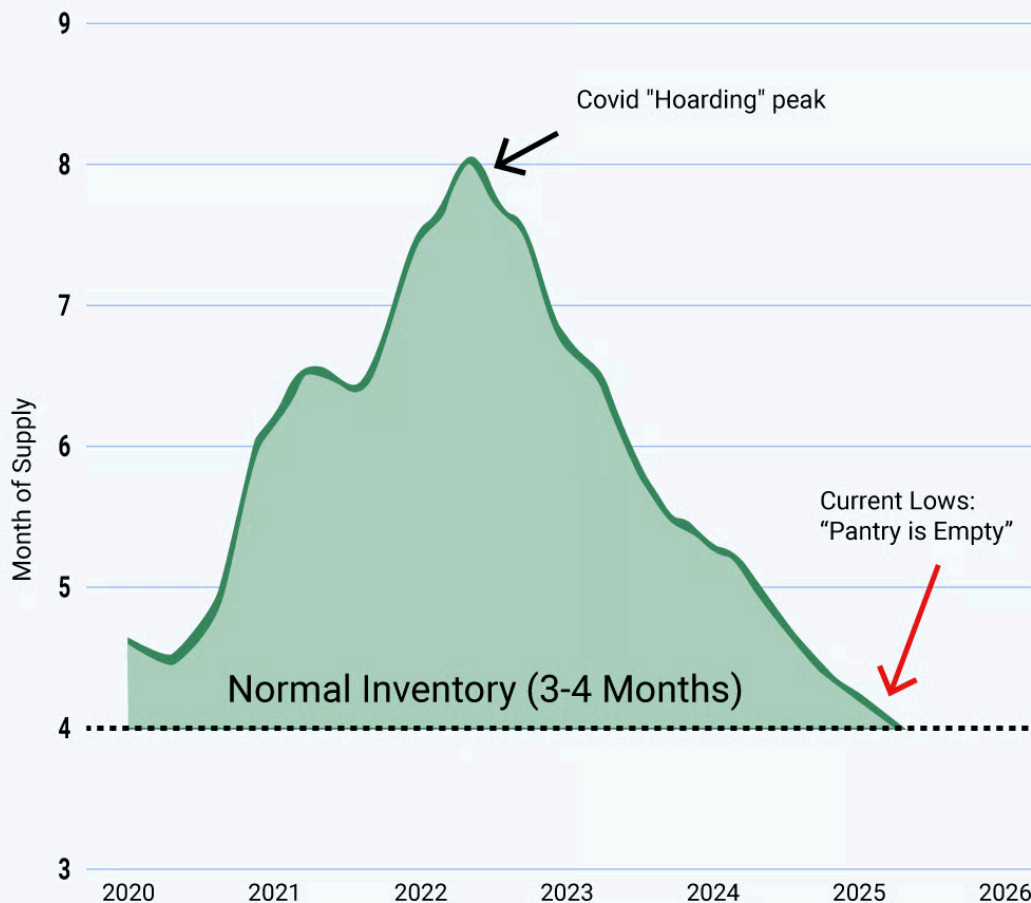
That led to oversupply and for the past 18 months, biotech companies have been living off their stockpiles, barely ordering any new supplies.

The problem: *That supply is running out.* And soon, biotech companies will need to order more supplies to keep up with demand.

But demand for these supplies isn't the same as what it was before - in fact, demand is a lot higher in 2025.

In short - when biotech companies start ordering again, it's going to be a flood.

The 'Covid Hangover' Inventory Burn (Customer Inventory Months of Supply)



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Data via KPMG

This is where we've identified a Main Street Shift:

After 18 months of biotech companies using up old supplies, orders are increasing again, creating opportunities for the companies that make the basic tools the entire industry needs.

What changed? New breakthroughs in weight loss drugs are expected to increase demand by 70% year-over-year in 2025.

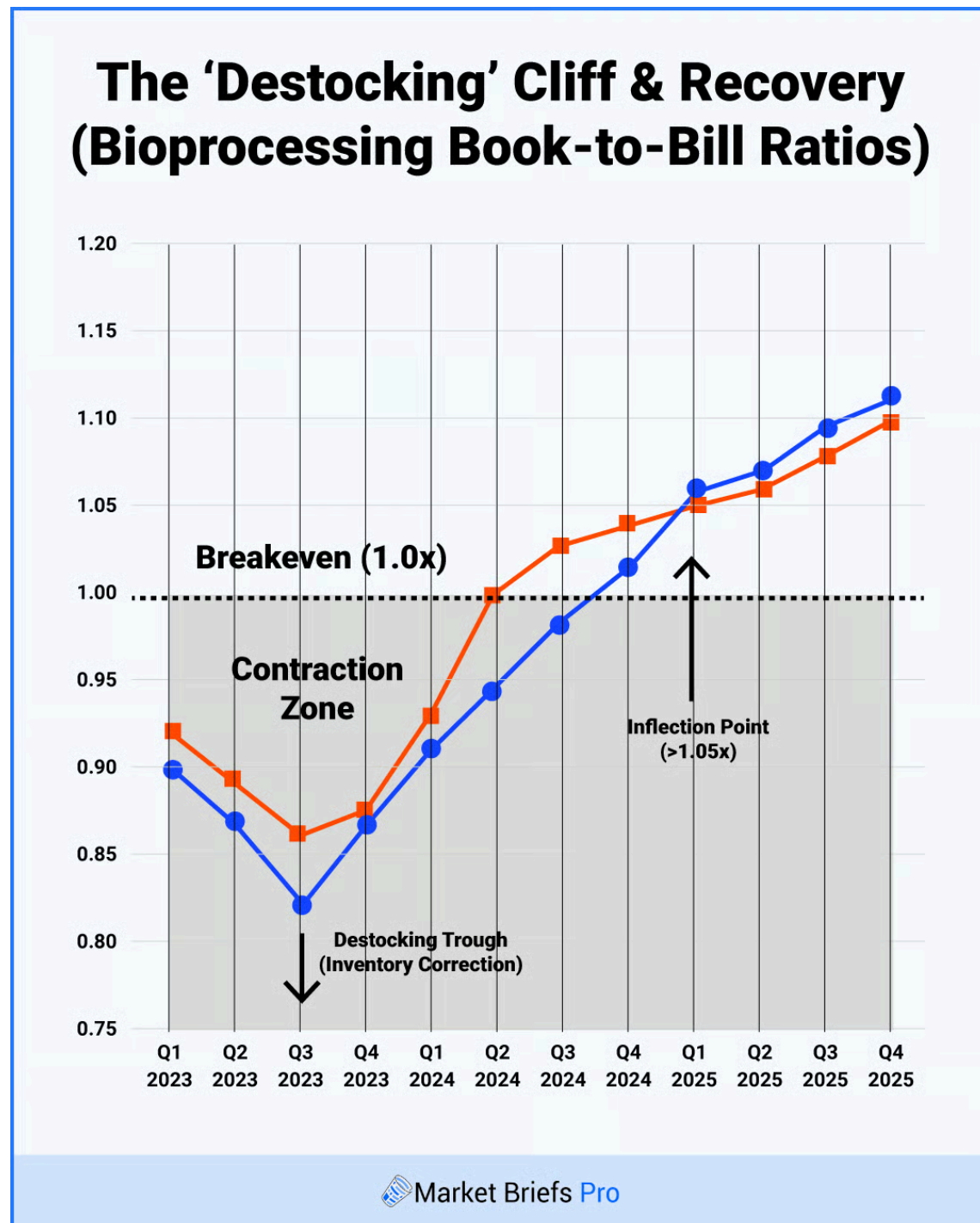
- Eli Lilly announced in December 2025 that it was building a new \$6 billion facility to produce its new weight loss drugs - Eli Lilly produces

Zepbound.

Alzheimer's treatments have gotten better - at the same time, venture capital has started flowing back into biotech.

And in December 2025, Congress passed a law forcing companies to buy American biotech materials instead of Chinese.

To be clear: This shift isn't about a medical breakthrough or a new innovation changing biotech.



Data via Danaher 10-Q

It's about the basic supplies that medicine and biotech will need - like syringes and vials.

These companies are seeing demand increase as old supplies run out and new orders grow.

Think of it like this: During the California Gold Rush, most miners went broke chasing gold.

But the people selling pickaxes and shovels? They made fortunes no matter who struck gold or who came up empty.

The same principle applies here.

We don't need to guess which drug will be the next blockbuster - we just need to find the companies supplying the tools to make *all* the drugs.

Couple that with demand already increasing beyond what is typical, and this shift has all of the ingredients for a new opportunity.

Let's break down why this shift is happening and which companies may benefit.

ANALYST REPORT

Tickers we're tracking:

Position leader: West Pharmaceutical Services (WST)

Everything supplier: Thermo Fisher Scientific (TMO)

Pure play: Danaher Corporation (DHR)

THE SHIFT

The Great Destocking

To understand what's about to happen, we need to go back to COVID.

During the pandemic, biotech companies overstocked everything - syringes, vials, stoppers.

When things calmed down, they stopped ordering and just used what they had.

Wall Street calls this "destocking" - running down your inventory instead of buying new supplies.

For the companies that make these supplies, orders dried up for 18 months.

But stockpiles eventually run out.

West Pharmaceutical's CFO said in October 2025 that destocking was "finally behind us".

Merck confirmed it in July.

S&P analysts said the same in April.

Orders are coming back now - but here's the twist: normal isn't what it used to be.

While companies burned through stockpiles, weight loss drugs exploded.

Ozempic and Wegovy became so popular they've been classified as "limited" since early 2024 - companies literally can't make them fast enough.

Every dose needs stoppers, plungers, syringes, and vials. Plus, over 80 experimental obesity drugs are in human testing right now.

Then in August 2025, the FDA approved Leqembi - the first at-home Alzheimer's treatment via weekly injection.

Millions of patients could soon need weekly shots instead of hospital visits.

Biotech VC volume and deal value globally from Q1 2021 to Q3 2025



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Data via Pharmaceutical Technology

Add two more forces:

- Venture capital funding jumped 70% in Q3 2025 (those startups need equipment).
- The Biosecure Act (which went into effect on December 7th, 2025) is forcing companies to stop using Chinese suppliers and buy American.

Empty stockpiles + weight loss boom + at-home treatments + venture capital + forced onshoring.

That's creating a new surge for biotech supplies and potential opportunities for investors.

POSITION LEADER

The GLP-1 Supplier

When a pharmaceutical company submits a new drug for approval, they have to list every single component of how that drug will be delivered.

This includes the exact specifications for stoppers, plungers, and syringes, and *who makes them*.

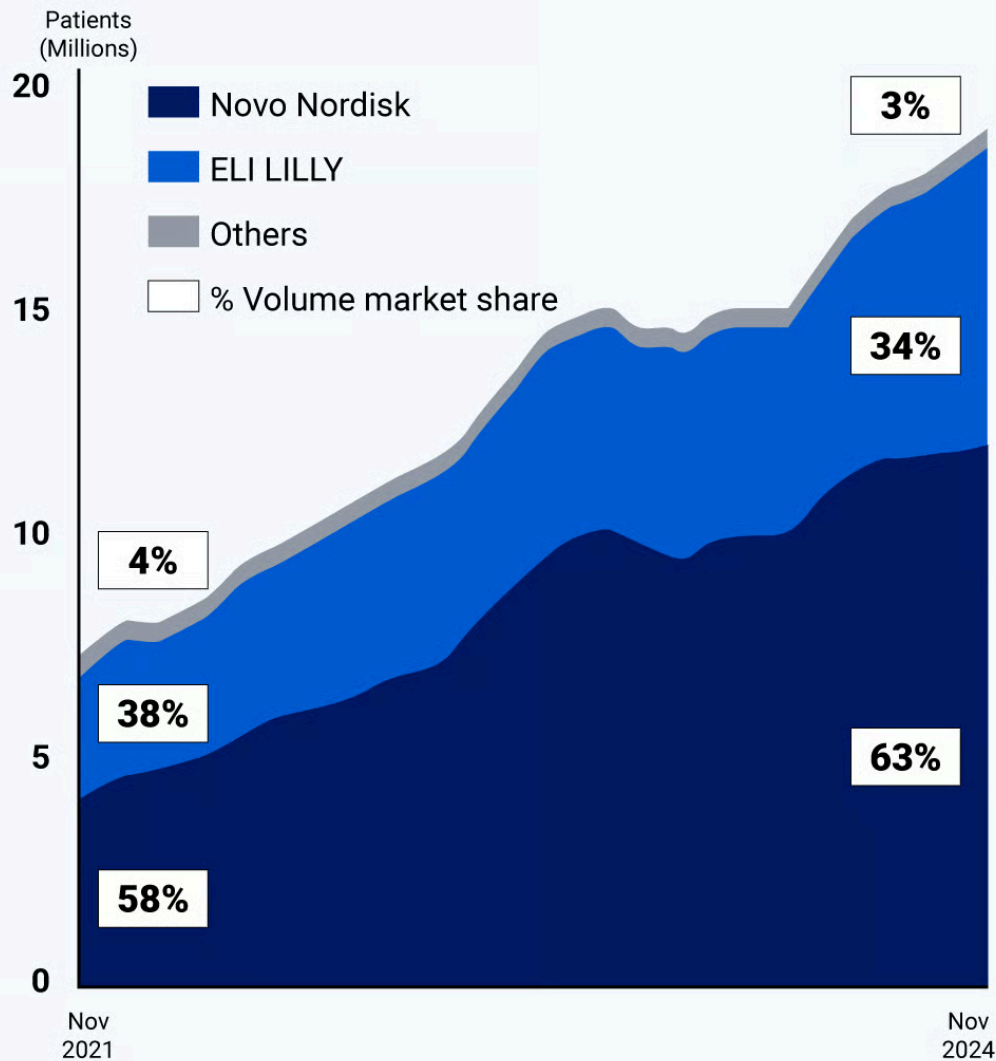
Once the FDA approves a drug with a specific supplier's components, switching suppliers requires refiling the entire drug.

That process takes years and costs millions.

This is why West Pharmaceutical has such a powerful position: Their packaging components are written into the FDA filings for major GLP-1 products.

They're not just a supplier - they're locked into the drug itself.

Global number of patients on GLP-1s across diabetes and obesity



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Data via Novo Nordisk Investor Presentation

Drug companies can't just switch to a competitor because West Pharmaceutical raised prices or because they found a cheaper option.

They're stuck with West Pharmaceutical unless they want to go through years of regulatory hurdles.

And West Pharmaceutical supplies many of the biggest weight loss drugs on the market right now.

Despite the destocking cycle hitting their business hard, West Pharmaceutical has been preparing for the comeback.

They've beaten Wall Street's earnings expectations four quarters in a row while working to expand their production capacity.

When orders return in Q1 of 2026, their costs will stay mostly the same - they're not paying dramatically more to make ten million stoppers instead of one million.

But revenue should surge with every order.



Data [via](#) Yahoo! Finance

So where's the opportunity? Shares of West Pharmaceutical are down nearly 18% year-to-date. That sounds bad, *but we believe it's undervalued*

right now.

Shares fell in February 2025, but they've recovered 19% in the past six months.

West Pharmaceutical's average analyst price target is \$347 - but the stock is currently trading at \$269. Most analysts still rate it a "buy."

And there's one more catalyst coming: In January 2026, West Pharmaceutical is launching a product called Synchrony - a prefilled syringe system that lets drug companies produce doses faster.

It seems specifically engineered for the GLP-1 boom, and it's launching right as orders start flooding back.

West Pharmaceutical is a giant that's been around for decades, operates near-monopoly status in its field, and has weathered previous biotech downturns.

With destocking over and their new product launching, this may be an undervalued opportunity for investors.

EVERYTHING SUPPLIER

Stocking The Lab

If you walk into any biotech lab in America, there's a good chance that you'll see the same logo almost everywhere: Thermo Fisher.

That's because Thermo Fisher is one of the biggest suppliers of lab equipment in the U.S.

And unlike West Pharmaceutical, which focuses on packaging and delivery, Thermo Fisher plays in *every* part of this shift.

They sell the supply systems that are absolutely necessary to produce GLP-1 drugs, peptides, and many other drugs.

Without this equipment, these drugs literally cannot be manufactured at scale.

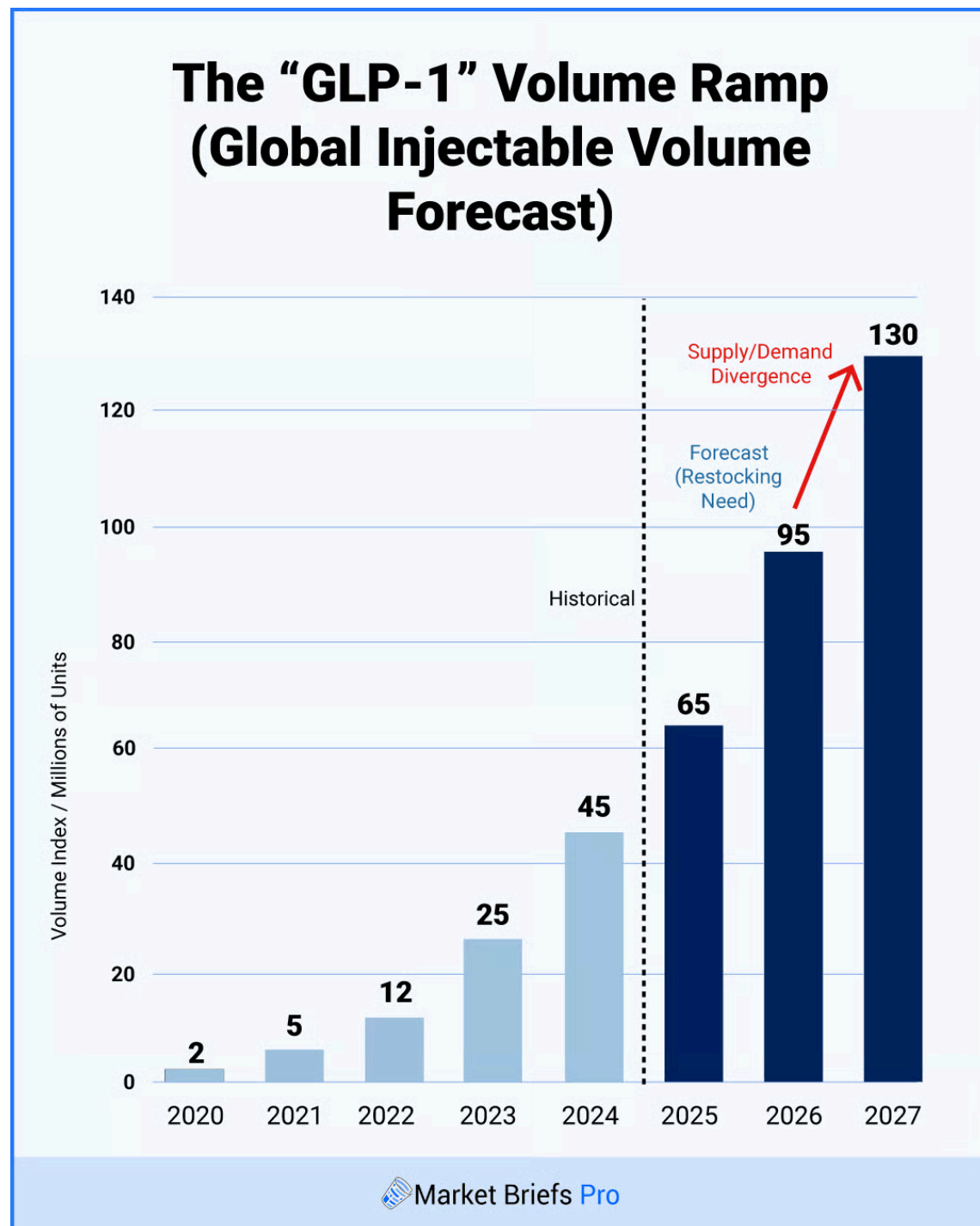


Image [via IQVIA](#)

In addition, Thermo Fisher acquired Solvatum for \$4 billion in 2025 - a purification and filtration business.

They now own even more of the weight loss drug equipment market.

But there's more: Remember the Biosecure Act forcing companies to move away from Chinese suppliers?

Thermo Fisher has the largest network of compliant, Western-based medical manufacturers on Earth.

For major pharmaceutical companies like Pfizer or Amgen that need to start making drugs in the U.S. quickly, Thermo Fisher's manufacturing is often their *only option*.

And as venture capital increases for startups, that money must go somewhere - roughly 50% goes to Thermo Fisher.

Plus, like West Pharmaceutical, Thermo Fisher's orders are accelerating as destocking ends and companies run out of their disposable goods.



The stock has been lagging in 2025 - it started a bear run in February and didn't see meaningful recovery until July.

But it's still up 9.2% year-to-date, and the company beat earnings expectations every quarter while raising guidance back to 2024 levels for Q4.

So the opportunity is: It doesn't matter which area of biotech wins - Thermo Fisher makes the parts.

That makes them a prime potential opportunity for investors in 2026 and beyond.

PURE PLAY

Razor And Blade

Medicine and biotech need a lot of supplies that get used very often, like single-use plastic bags.

These are consumables - companies burn through them constantly and need to keep reordering.

That leads us to our next opportunity, Danaher - who now specializes in creating these biotech single-use items.

In 2023, Danaher got rid of the part of their business that wasn't working and became a pure biotech play.

Now they run two divisions that feed perfectly into this shift - and into each other.

Danaher Corporation (DHR)

YTD Price

230.90
(0.63%)



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Data [via](#) Yahoo! Finance

Here's how:

- Their biotech division makes filtration systems, resins, and single-use plastic bags for biological drug development.
- Their diagnostics division makes the machines in hospitals that run blood tests and detect common diseases like flu and strep throat.

This is known as the “razor and blade” business strategy.

Just like Gillette sells you a cheap razor handle but makes all its money on expensive replacement blades you have to keep buying, Danaher sells their

diagnostic machines at low prices.

But those machines require their consumable supplies to keep working.

And 2026 will be the first full calendar year where Danaher is purely focused on biotech after spinning off his former industrial water division.

This matters because biotech pure play companies tend to trade at much higher valuations than industrial companies, because of their high growth potential.

Its biggest competitor, WuXi Biologics, has also been a non-issue for them - their a Chinese company and the Biosecure Act made it impossible for American companies to work with them by law.

Danaher also has historically been extremely active in buying smaller companies to expand.

But for the past 18 months, they've been quiet on the acquisition front, instead stacking cash in reserves.

With smaller biotech companies facing depressed valuations after the destocking cycle, Danaher could be preparing to go shopping throughout 2026.

The stock has struggled this year though, roughly flat year-to-date, though recovering from mid-year lows.

But like the others, Danaher beat projections throughout 2025 and raised Q4 guidance back to 2024 levels.

The market is underestimating what happens when this company emerges from the destocking cycle as a pure biotech potential investment with cash to spend.

RISKS

How This Opportunity Could Shift

Investing in pick-and-shovel plays may be safer than betting on individual drugs - but there are some risks to be aware of.

The biggest risk is that all three of these companies are currently trading well above their earnings, and even above their historical averages.

If 2026 profits don't meet expectations, these stocks won't just underperform - they could actually lose value.

The Biosecure Act should drive demand to American suppliers, but the transition away from Chinese companies could take a while.

If pharmaceutical companies struggle with the swap or face unexpected costs, it could temporarily reduce their orders to American suppliers.

And let's remember the big picture: Biotech is a long-term industry.

Market recoveries, new investments, and breakthrough technologies can all take significantly longer than projected.

Just because destocking is over doesn't guarantee demand will immediately explode - it could be a gradual build throughout 2026 and beyond.

REVIEW

Biotech's Spending Spree Is Here

For 18 months, biotech companies have been living off supplies they stockpiled during COVID.

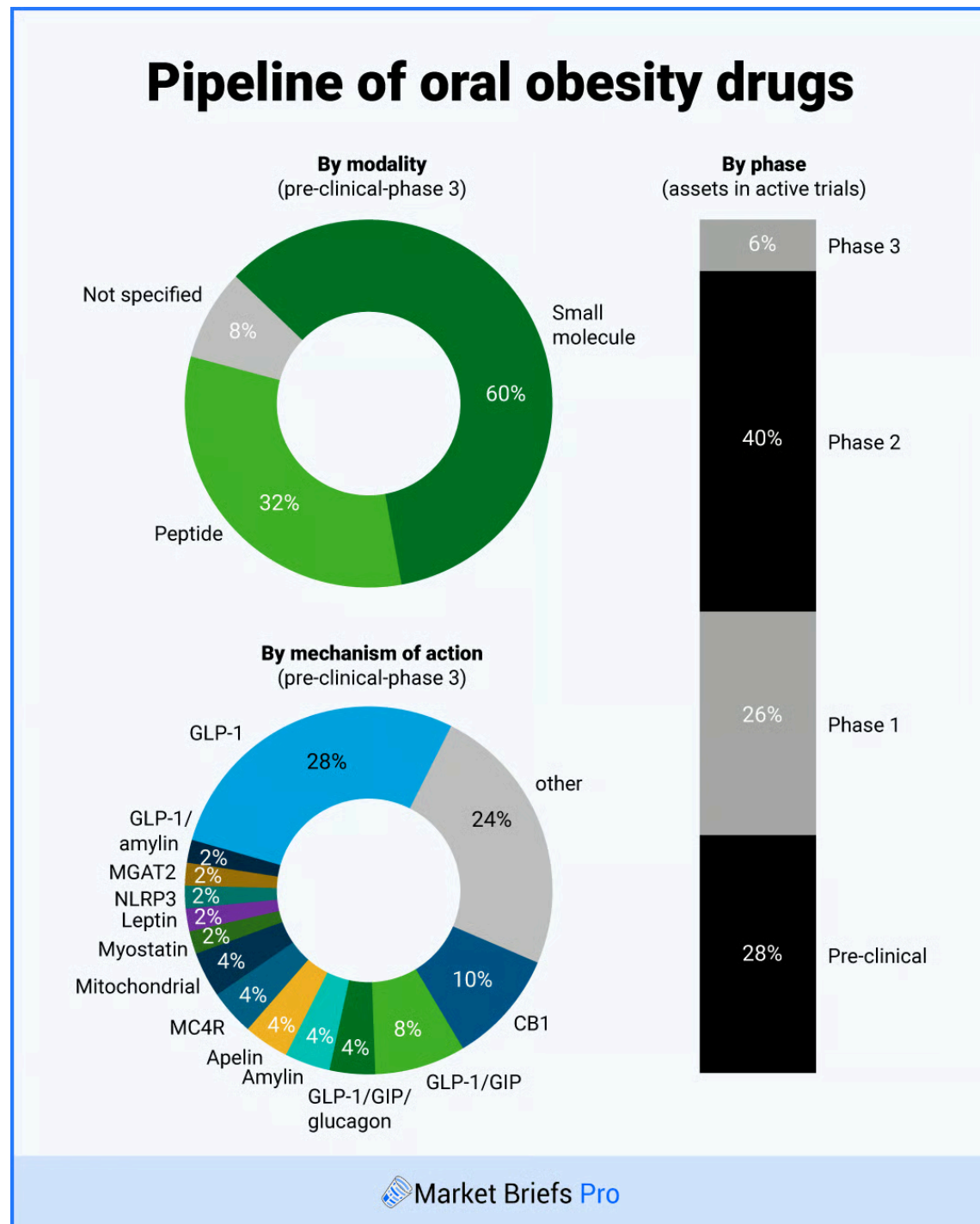
Those warehouses are nearly empty now, and orders are coming back.

But they're not coming back to the old normal - weight loss drugs need millions of weekly injections, Alzheimer's treatments are moving into homes, venture capital is flowing again, and Chinese suppliers are banned.

In the near-term, the J.P. Morgan Healthcare Conference in San Francisco in January, 2026, could also be a catalyst for the industry.

Why? Experts are calling it the "Super Bowl" of healthcare and biotech, with potentially huge announcements and deals being made.

Regardless, investors who understand this shift may want to keep these biotech supply companies in mind as we head into 2026.



Data via IQVIA



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